



1. Explain how marginal revenue product can help to determine **both** wage rates **and** employment in particular occupations. [15 marks]

2. ‘...any negative economic effects of trade unions are outweighed by the positive effects of trade union activities on wages, discrimination and exploitation’ (**The Global Context Extract C**, lines 21–23).

Using the data and your economic knowledge, evaluate whether governments, such as those of the UK or China, should intervene in labour markets to increase trade union membership.

[25 marks]

3. Although there have been laws against wage discrimination in the UK for many years, women’s average wages are still about 20% lower than those of men.

Assess the view that increased female membership of trade unions would be the most effective way to raise women’s earnings.

[25 marks]

4. Although there have been laws against wage discrimination in the UK for many years, women’s average wages are still about 20% lower than those of men.

Explain the factors that might account for the continuing difference between male and female earnings.

[15 marks]

5. ‘The European Union (EU) wishes to improve the mobility and flexibility of labour’ (**The European Union Context Extract F**, line 6).

Evaluate the possible **costs** and **benefits** for the UK economy of the free movement of labour within the EU.

[25 marks]

6. **The European Union Context Extract E** gives examples of wage differentials.

Explain what is meant by the term ‘wage differentials’ **and** analyse **two** reasons, suggested by economic theory, why wage differentials occur.

[9 marks]



7.

THE EUROPEAN UNION CONTEXT**Extract E: Wage differentials in the UK in 2008**

In 2008, the average doctor in general practice earned £105 000 and, while the average earnings of dentists doing NHS work were £89 000, over 700 dentists earned more than the Prime Minister, who earned £190 000. The Lord Chief Justice earned £236 000 and the Director-General of the BBC earned £816 000. The average annual earnings of all UK workers in full-time employment was around £30 000. Someone with a normal full-time working week on the national minimum wage would have earned about £11 000 over the year.

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5

Source: news reports, 2009

8.

Using the data and your economic knowledge, evaluate the view that intervention in the fishing industry by the EU is unlikely to correct market failure but is likely to result in government failure in **both** UK product markets **and** UK labour markets.

[25 marks]

9.

THE EUROPEAN UNION CONTEXT**Extract C: Quantity and value of fish landed in UK ports, all species**

	2003	2006	2009	Year Y (forecast)
Quantity of fish (tonnes)	700 000	530 000	500 000	400 000
Index of quantity of fish	140	106	100	?
Value (£ million)	475	590	611	620
Index of value of fish	78	97	100	101

Sources: official statistics and industry information, 2010

THE EUROPEAN UNION CONTEXT

Extract D: Changing markets and EU policy: the case of Grimsby

Deep sea fishermen have been called the last of the hunter-gatherers. They chase a scarce natural resource which is not farmed or domesticated. While there is pressure to achieve economies of scale, large super-efficient factory ships are in danger of eradicating the very raw material upon which they rely. The market for fish operates efficiently in many ways, with buyers and sellers who have good knowledge of the product and of prices. However, at the European Union level, a great deal of time and money is spent on trying to reduce failures in this market for fish.

Marine scientists have said that, without government intervention, fish stocks will collapse completely by 2050 and that intervention is necessary to prevent various market failures. Sea fish are not a public good, although they tend to be treated as one largely due to a lack of property rights. For the past 30 years, the national fisheries of EU member states within Community waters have been governed by the Common Fisheries Policy (CFP). The CFP includes measures which are aimed at conservation by regulating the amount of fish taken from the sea, controlling the fishing methods that are used, and policies for matching supply and demand. Policies include quotas and restrictions on the times that boats can spend at sea. Trawler captains usually operate as small business entrepreneurs, often with expensive loans, and have costs to pay even when a boat is laid up in harbour. New boats cost about £25 million and EU licences can insist that, when taken out of service, the boats are destroyed. Ultimately, these boats have to be efficient enough to catch sufficient fish to earn a profit during the equivalent of only two months at sea each year.

The CFP has been widely criticised. For example, critics claim that quotas are wasteful since, if too many fish are caught, perfectly edible fish have to be dumped at sea rather than brought ashore. On the other hand, supporters of the CFP would argue that it gives hope of avoiding the collapse of stocks or even the complete extinction of some species.

In the 1950s, deep sea fishing was a multi-million pound business and Grimsby in North Lincolnshire was the largest fishing port in the world. Generations of families found employment in fishing and its related industries, such as food manufacture. The UK's first frozen 'fish finger' was produced in Grimsby in 1955. Demand in product markets leads directly to a derived demand in labour markets and the CFP has had a massive impact on towns such as Grimsby.

Nationally, fisheries represent well under one per cent of the UK economy. However, their effects on local and regional labour markets are much greater than this figure would suggest. Workers in the fishing industry tend to be immobile occupationally, in terms of their experience and skills, and geographically, in terms of where they are prepared to live and work.

In 1964, 22 000 fishermen were employed in the UK. This fell slowly to 21 000 in 1994 and then more rapidly to 12 000 by 2009. While fishing has been in decline for many years, Grimsby retains several major companies which produce some of the best known brands of fish and other frozen food products in the UK. Also, Grimsby still has the largest fish market in the UK, although most of what is sold is now transported to Grimsby by road from other ports or imported in container ships. New industries such as light engineering, chemicals and plastics have become important employers. Grimsby, like many other towns, relies heavily on retailing as a source of employment, together with tourism in the nearby resort of Cleethorpes.

Sources: news reports and industry information, 2010